Queen Mary University of London

ECOM194 – FinTech

START-UP INVESTMENT

WiseAlpha

Revolutionising Access to Corporate Bonds.
For Everyday Investors

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Table of Content

Company Overview 2

Reasons to Invest.....3

Challenges & Risks 7

Investment Decision & Diversification.....8

Conclusion 9

References.....10

Company Overview

WiseAlpha is a leading digital bond market operating in the fintech domain, aiming to make the multi-trillion **corporate bond (CB)** market accessible to retail investors with **Fractional Bond Trading** technology, which was formerly only accessible to institutional investors.

Incorporated on 31 March 2014, **WiseAlpha Technologies Limited** (**Company Number: 08967521**) is currently registered in England as a Private Limited Company with its registered office in One Canada Square, London (GOV.UK, n.d.), and has made FTSE corporate bonds more accessible and revolutionised the fixed-income market by removing the entry barrier to corporate bonds. This concept of fractional bond trading is similar to fractional share trading, allowing individual investors to invest in over 150 corporate bonds with a minimum investment of £100, a recurring service fee, and a one-off sales fee. Simultaneously, it offers technology licensing services for banks and institutions (Crowdcube, 2024).

Following this, as an **FCA**-regulated and **ISO-27001** security standard-compliant company, **WiseAlpha** has received numerous awards for its innovativeness and contribution to the fintech industry (Crowdcube, 2024). Additionally, reflecting investor confidence, its funding primarily derives from successful equity crowdfunding and yet it has raised a total of £7,800,438.36 capital.

- **28th September 2022:** £102,910 raised from 164 investors.
- **3rd August 2020:** £3,058,788.36 raised from 618 investors.
- **15th October 2018:** £2,813,650 raised from 1,548 investors.
- **15th May 2017:** £1,245,940 raised from 1,037 investors.
- **27th April 2016:** £579,150 raised from 376 investors. (CrowdCube, 2024)

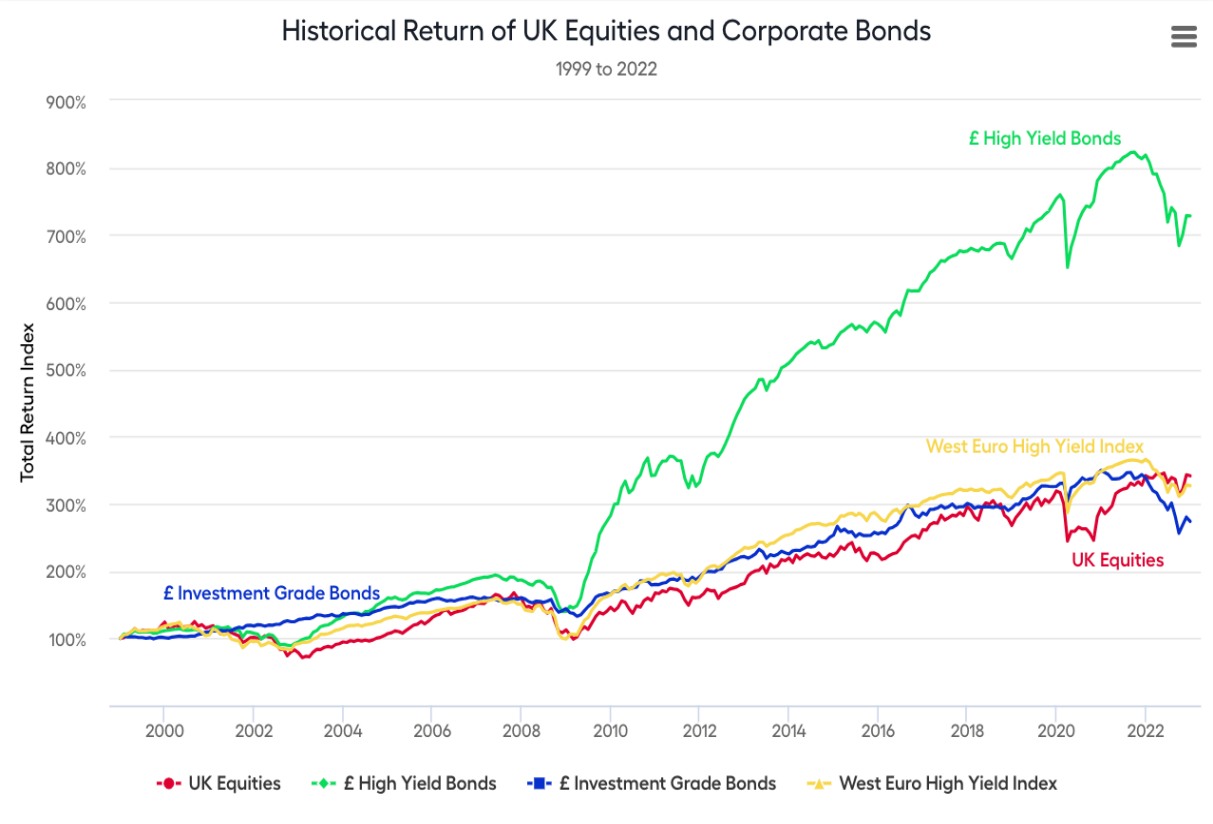
However, it has a few areas to work on which align with its strategies of enhancing the platform and investor confidence, diversification and expansion of bond offering along with risk mitigation to compete with its potential competitors like iwoca, Tide, and Fund Ourselves (Crunchbase, 2024).

Reasons to Invest

Among numerous investment opportunities, our decision to invest in **WiseAlpha** stems from the following compelling reasons:

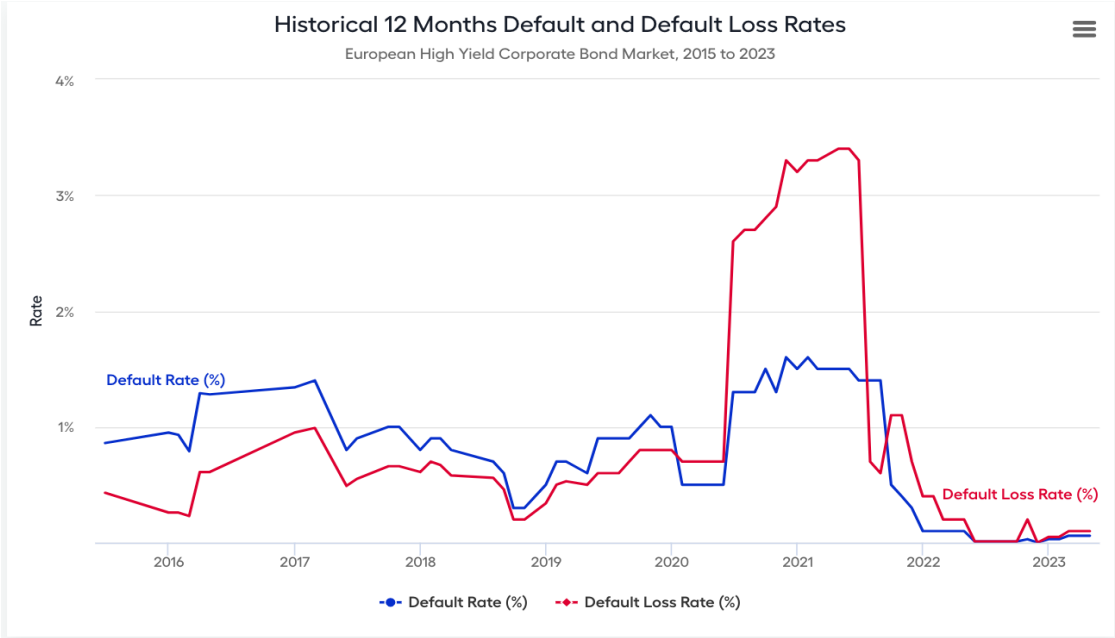
1. **Minimal Investment Capital and Lower Entry Barrier:** With a fractional bond trading feature for retail investors, WiseAlpha facilitates fractional bond investment issued by well-known companies with a minimum of only £100, which was previously limited to institutional investors due to the high £100k minimum trading size. Simultaneously, it offers institutional partnerships and licensing to banks and institutions (Seedrs, 2023).

2. **Return Maximization and Diversification:** Historically, Corporate Bonds performed better than other common investment alternatives such as Equities.



WiseAlpha Statistics: “Historical Returns of UK Equities and High Yield Bonds" (Accessed on 08/02/2024)

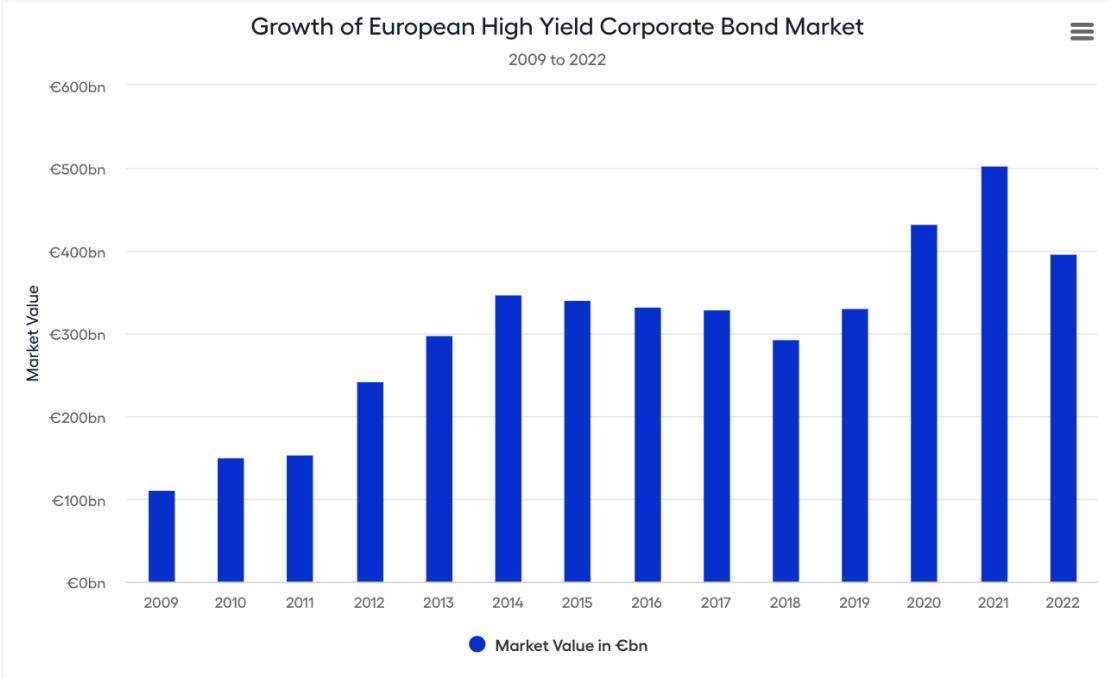
WiseAlpha facilitates investment in high-yield and investment-grade corporate bonds and bonds from different credit quality categories while allowing investors to diversify their portfolios based on their risk preference and their investment goals. Historically, the amount lost after the sale of assets to recover for bondholders is relatively low, and secured assets back many bonds.



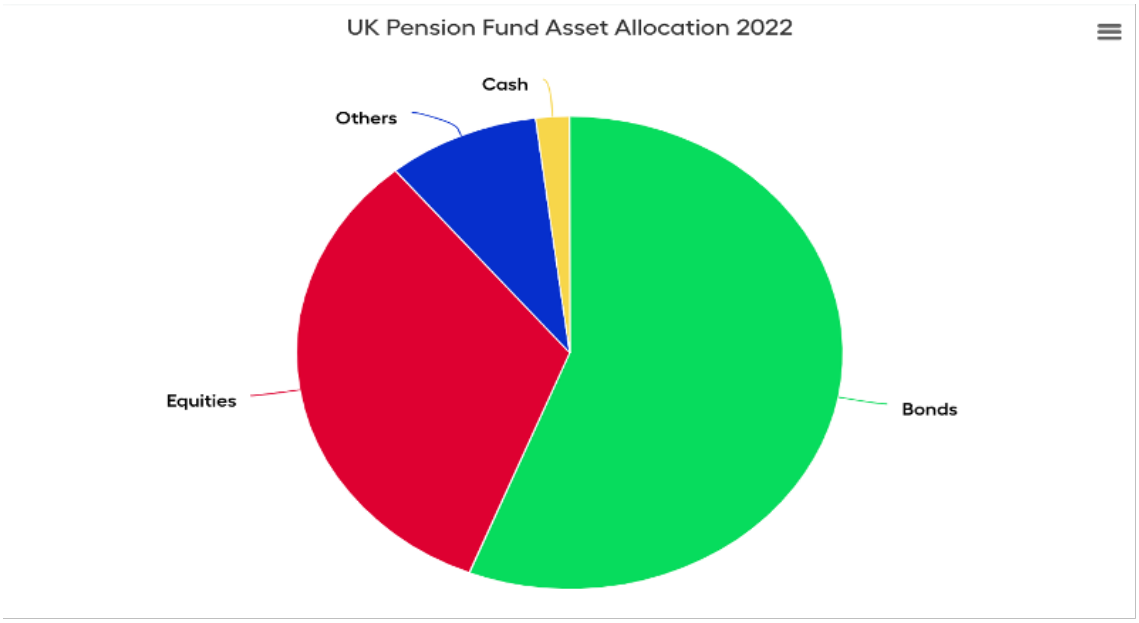
WiseAlpha Statistics: “Historical 12 Months Default and Default Loss Rates" (Accessed on 08/02/2024)

As the graph illustrates, Between July 2015 and Dec 2022, corporate bondholders lost between 0% and 3.4% due to defaults, with a mean of 0.94% and a median of 0.61%, indicating potential for return maximisation and risk diversification through investment in Corporate Bonds.

3. **Growing Bond Market Demand:** Based on **WiseAlpha** statistics**,** the European High Yield Corporate Bond Market is considered significant and well-established, and the market value of outstanding bonds has grown from €112 billion to €396 billion since 2009.



WiseAlpha Statistics: “Growth of European High Yield Corporate Bond Market" (Accessed on 08/02/2024)



WiseAlpha Statistics: “UK Pension Fund Asset Allocation 2022" (Accessed on 08/02/2024)

Furthermore, bonds have become increasingly favoured among pension funds. As of 2022, 56% of the UK Pension Funds portfolio was allocated to bonds, whereas their investment in equities was 33% (WiseAlpha, 2023).

4. **Customisable Investing & Automated Management:** WiseAlpha's **Robowise** algorithm ensures the optimal fund distribution based on the preferred portfolio type (balanced or adventurous) while considering the total value of the current portfolio and the uninvested cash. Additionally, with the availability of new investments, Robowise automatically rebalances portfolios for a 1% annual service fee on invested amounts and a 0.25% sale fee during liquidation. However, there are no fees for transactions employed by Robowise for diversification (WiseAlpha & Hamade, 2024).

5. **Regulation and Bankruptcy Protection**: The **Financial Conduct Authority (FCA)** (No. FRN: 751087) authorised and regulates **WiseAlpha Technologies Ltd.**, which enables its customers to get compensated under the **Financial Services Compensation Scheme** in case the company fails in its FCA-regulated activities, excluding investment losses. (Financial Conduct Authority - FCA, 2017).

   Following that, as regulated by FCA, in a segregated client bank account at **NatWest Bank plc, WiseAlpha** holds investors' uninvested cash while ensuring seamless and transparent transactions with open banking and conventional methods (WiseAlpha, n.d.). Also, **WiseAlpha** fractional bonds use corporate bonds as a bankruptcy remote investment vehicle by matching the assets with liabilities represented by Fractional Bonds issued to clients, while **IQEQ,** as its global custodian, mitigates its insolvency risk by providing independent oversight (Ahmad, n.d.).

   However, if the Capital of **WiseAlpha Technologies** drops below the required level, then **WiseAlpha plc** would continue to administer the client's cash and investments and structurally, money held and invested at **WiseAlpha plc** and the main operating company **WiseAlpha Technologies Limited** are separated (Ahmad, n.d.).

Considering these reasons, we have decided to participate in this revolutionary change in the fixed-income market through investment.

Challenges & Risks

To begin with, investing solely in **WiseAlpha** could also cause some challenges, such as limited investment opportunities, which eventually pose the risk of having fewer options to diversify risks.

Secondly, 'Aidan Hamade', the CTO of **WiseAlpha,** clarified in his article that **WiseAlpha** implements a tiered annual service fee structure determined by the total principal amounts of Fractional Bonds invested by clients.

Given Scenarios:
If one person holds
1. £50,000 worth of Fractional Bonds, it charges 1% on the first £20,000 and 0.75% on the next £30,000, giving an effective annual fee rate of 0.85%.
2. £120,000 worth of Fractional Bonds, on the first £20,000, it charges 1%; on the next £30,000, 0.75%; 0.5% on the next £50,000, and 0.25% on the final £20,000, giving an effective annual fee rate of 0.60% (Hamade, 2024).

Evidently, this tiered structure charges a higher percentage from investors with smaller investments than those with a higher proportion. To some extent, this contradicts **WiseAlpha's** aim of making the corporate bond market accessible to retail investors.

Lastly, Intrinsically, Corporate bonds are sensitive to changes in interest rates, contain chances of default, and their prices fluctuate based on financial performance, economic conditions, interest rates, and other market factors. Additionally, returns are not guaranteed and need more liquidity. Hence, **WiseAlpha** investment might become severely volatile and unsuitable for retail investors.

Investment Decision & Diversification

As we estimate it to be a **'Strong Buy'**, with a total budget of £600, we have decided to invest £120 collectively, allocating £20 from each member representing 20% of our portfolio into **WiseAlpha**.

The rationales behind this recommendation and investment decision are given below:

- **WiseAlpha** has pioneered the world's first online marketplace for fractional corporate bonds, allowing investors of various capital sizes to participate in this multi-trillion-dollar corporate bonds industry, eventually reducing a substantial market gap and resolving a problem within the system for a long time.
- **WiseAlpha**'s fractional bond platform is similar to fractional share trading, which is believed to efficiently attract investors, such as millennials (Etienne, 2020). Likewise, as it offers high-yield corporate bonds issued by UK-based companies, these bonds would potentially provide attractive fixed-income generation opportunities even in a low-interest-rate environment.
- **WiseAlpha** is an **EIS** (Enterprise Investment Scheme) eligible company allowing investors to claim up to 30% of their investment back from HMRC. Along with other benefits of EIS tax relief, tax on capital gains is exempted if the investment is held for at least three years (CrowdCube, 2024).
- **WiseAlpha** is an FCA-regulated company, and having this regulatory body ensures investor confidence and compliance with industry standards. Correspondingly, its successful completion of previous fundraising rounds is evidence of investor confidence and proper utilisation of raised capital.

WiseAlpha appears equally promising, considering its return and growth potential. Hence, Based on these rationales, we have decided to purchase and allocate 20% (£120) of our portfolio to **WiseAlpha**.

However, to have a well-diversified portfolio and to have the unsystematic risk from **WiseAlpha** investment mitigated, we have decided to allocate the remaining £480 of our portfolio to four firms equally (20% of £600 each), such as **Laundryheap** (on-demand laundry and dry cleaning platform), **Book My Garage** (real-time price comparison platform for car servicing and repairs), **CapitalRise** (online property lending platform), and **Future Planet Capital** (impact-VC) from distinct industries while ensuring a negative or low

positive correlation among them to ensure enhanced performance monitoring capability and flexibility in decision-making to ensure profit maximisation.

Conclusion

To Conclude, Innovativeness and commitment towards transforming and facilitating fairness within the investment landscape have established **WiseAlpha** as a pioneer and a promising investment opportunity for everyone to participate in the FinTech and corporate bond industry revolution.

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